

SwimBuddz Finance System — A Plain-English Guide

What the finance system does, what every screen means, and how to read the numbers — written so the founder can read it end to end, and the accountant can trust it. Worked examples use real SwimBuddz figures.

1. What this is, in one paragraph

Every time money moves in SwimBuddz — a member pays, buys Bubbles, gets a refund, a coach gets paid — the system writes it into a ledger: a permanent, tamper-evident record of the business's money. The apps (payments, wallet, store...) run the business; the ledger quietly records the accounting truth underneath, so you can open a screen and see real answers: What did we earn? What do we own? What do we owe? Where's our cash? Without it, you'd be guessing from raw payment rows.

The golden rule it follows is double-entry: every transaction is written in two halves that must equal each other, so the books always balance and nothing can quietly go missing. You don't need to understand the mechanics — but it's why you can trust the totals.

Two units to know:

- Money is shown in Naira (₦). (Internally it's stored in kobo — 100 kobo = ₦1 — just to avoid rounding errors.)
 - Bubbles are the in-app credit. 1 Bubble = ₦100.
-

2. The handful of ideas behind every screen

You only need these six to read everything:

- Accounts. Everything is sorted into buckets: what you own (bank, cash in transit), what you owe (memberships you haven't delivered yet, Bubbles people haven't spent), what you've earned (revenue), what it cost (expenses), and your stake in the business (equity).
- Collecting money ≠ earning it. If someone pays ₦60,000 for a year's membership today, you've collected ₦60,000 but you haven't earned it yet — you owe them a year of service. The unearned part is a debt you owe, called deferred revenue. You earn it bit by bit as the year passes. That bit-by-bit earning is called recognition, and it runs automatically every night.
- Money "in transit." When a member pays with a card, the money doesn't land in your bank instantly — Paystack holds it for a day or two, then settles a batch to your bank (after taking its fee). While it's in limbo it sits in a clearing account ("collected, not yet in the bank").
- Bubbles are a promise. When someone buys Bubbles, you've taken their cash but still owe them service — so Bubbles people hold are a debt you owe (a liability). When they spend Bubbles, you deliver the service, so that's when it becomes revenue.

- Reconciliation = "do the books match the bank?" The system checks every payout Paystack made against what's recorded in the books. Anything that doesn't line up is flagged as a break for someone to look at.
- Periods. The books are organised by month. A month can be open (still recording), soft-closed (only corrections allowed), or hard-closed (locked forever). You close a month once you've reviewed it.

That's the whole mental model. Everything below is just these ideas on screens.

3. Worked examples (real SwimBuddz numbers)

The clearest way to "get it" is to follow real money through the system.

Example A — a member pays for community membership

Peter pays ₦5,000 for community membership (this is a real payment in your books).

- He pays by card. The ₦5,000 is collected but not in your bank yet → it sits in clearing, and because membership is delivered over time, the ₦5,000 is recorded as deferred revenue ("we owe Peter a year of community membership"). Nothing is "earned" yet.
- Each night, the system earns a sliver of it. Community runs ~365 days, so after ~4 months it has recognised roughly ₦1,650 as real revenue and ₦3,350 is still deferred (still owed in service).
- A day or two later Paystack settles the cash to your bank (minus a small fee), and the clearing balance for Peter's payment drains to zero.

Where you'd see it: Deferred Revenue shows the ₦3,350 still owed; P&L shows the ₦1,650 earned; Cash Position shows the cash moving from "in transit" to "in bank."

Example B — Paystack settles a big batch (this actually happened)

Over time SwimBuddz collected ₦734,100 by card. Paystack pays that out in batches. When the batches were reconciled:

- ₦719,714 landed in your bank (the net),
- ₦19,249 was Paystack's fees (now correctly recorded as an expense),
- the clearing account drained to ≈ ₦0 (the cash is no longer "in transit").

Where you'd see it: Cash Position — "in transit" drops to ~₦0 and "in bank" holds the settled cash. The fees show up as an expense on the P&L.

Example C — Bubbles, bought and spent

A member tops up 50 Bubbles for ₦5,000.

- You now owe ₦5,000 of service → the Bubbles Liability goes up ₦5,000.

Later they spend 10 Bubbles on a session ($10 \times ₦100 = ₦1,000$).

- You delivered ₦1,000 of service → that's ₦1,000 of revenue, and the Bubbles Liability drops to ₦4,000 (they have 40 Bubbles left).

Where you'd see it: Bubbles Liability shows what's still owed; the spend shows up as revenue on the P&L.

Today's real number: members hold 439 Bubbles, so the books show a ₦43,900 Bubbles liability — split ₦22,900 bought with cash and ₦21,000 given out free (promos/welcome bonuses).

Example D — reconciliation catching a real problem

When the books were matched to Paystack's payouts, 101 of 102 transactions matched perfectly. One ₦5,000 payment had settled at Paystack but was missing from the books (its record had been lost during development). The system flagged it as a break. We confirmed it was a real community payment, booked the missing ₦5,000, and the break cleared. That's the safety net working — it found the one needle in the haystack.

Example E — the whole picture today

The books currently hold about ₦1.6 million of total recorded activity, and they balance to the kobo. Every figure on every screen traces back to a dated, sourced entry you can open and inspect.

4. The screens, one by one

Everything lives under `/admin/finance` and needs a finance login (separate from being an app admin — see Finance Team).

`/admin/finance/reports` — your financial statements

Six reports stacked on one page. Pick a date (or date range) at the top of each.

- Trial Balance — a list of every account's balance, with a Balanced badge. This is the "are the books internally consistent?" check. If it says Balanced, every naira is accounted for.
- Profit & Loss (P&L) — what you earned minus what it cost = profit (or loss) over a period. View it "by domain" to see which parts (academy, club, store...) make money.
- Balance Sheet — a snapshot of the business: what you own, what you owe, and your stake (equity). It always balances (own = owe + stake). The "Current-Year Earnings" line is this year's profit so far.
- Cash Position — where your cash is: settled in the bank vs in transit at Paystack. In-transit should trend to ~₦0 as payouts arrive.
- Gross Margin by Domain — for each area, revenue minus its direct cost, and the margin %. Tells you which areas are actually profitable per sale.
- Bubbles Liability — how much you owe members in unspent Bubbles, split bought-with-cash vs given-free.

`/admin/finance/deferred-revenue`

Money you've collected but not yet earned — memberships and cohorts you've been paid for but are still delivering. The "Remaining" column is what you still owe in service. As time passes it moves into earned revenue automatically.

`/admin/finance/reconciliation`

Does the bank match the books? Shows how many of Paystack's settled transactions matched your records, and lists any breaks (settled money that isn't booked, or doesn't tie out). An empty list means everything ties. A break is a to-do: investigate and book the missing piece.

/admin/finance/periods

The months and their status. Close a month once reviewed — soft-close allows corrections, hard-close locks it. This protects the books from accidental backdated edits.

/admin/finance/journal-entries

The raw record — every transaction and its two halves. This is the audit trail: any number on any report can be traced back to entries here.

/admin/finance/invoices (working via the system; on-screen page coming)

Formal invoices with proper gapless numbering (SB-2026-000123). Today the system can issue/list/cancel invoices; the clickable screen is the next addition (see §6 for who actually needs it).

/admin/finance/users — Finance Team

Who can see the books, and at what level (view-only, accountant, admin, owner). Note: this is separate from general SwimBuddz admin — add your accountant here to give them access.

5. The accountant's monthly checklist

- Trial Balance says Balanced.
 - P&L reviewed (by domain).
 - Balance Sheet balances; deferred-revenue and Bubbles liabilities look right.
 - Deferred Revenue "Remaining" matches the Balance Sheet.
 - Reconciliation breaks worked down to zero (resolved or explained).
 - Cash Position: in-transit ≈ ₦0; bank matches the real bank statement.
 - Close the month (soft, then hard once final).
-

6. Do you need invoices yet — and for whom?

Short answer: yes, but only for corporate (B2B) clients — not individual members.

- Individual members (academy/club/community/store) get an automatic Paystack receipt when they pay. That's enough for a consumer; they don't ask for a formal invoice, and Nigeria's e-invoicing rules don't require B2C invoicing for a business your size yet.
- Corporate wellness clients (companies buying programs for their staff) are different: a company needs a formal invoice — with your business details, a proper number, their company name — to pay you and to record the expense in their books. They will ask for one. This is the real near-term need, and it's where the gapless SB-2026-... numbering matters.

Recommendation: when we build the invoices screen, aim it at corporate — issue an invoice against a corporate deal/program, view and print it, mark it paid/void. Member invoicing can wait (receipts already cover it), and full tax (VAT) invoicing waits until you've decided what's VAT-able and have FIRS credentials.

7. What's done, and what's still ahead

Done and live: every money movement is recorded; nightly earning (recognition) and month-close; bank-matching reconciliation; the full report set (trial balance, P&L, balance sheet, cash, margin, deferred revenue, Bubbles liability); a safety net so no entry is ever silently lost; and invoice numbering.

Still ahead:

- The invoices screen (for corporate — see §6).
- VAT/tax invoicing & FIRS e-invoicing — once you've set what's taxable and have FIRS credentials.
- Store cost-of-sales and driver/pool payouts — waiting on upstream data.
- A stricter database isolation step — only needed if/when you sell this to other organisations.

Rule of thumb: if a number ever looks off, open `/admin/finance/journal-entries` and find the entry behind it. Every figure has a dated, sourced, balanced record.

Last updated: 2026-06-03